

CELH pitch deck

PITCH — CELH — PROPOSED VERDICT

PROPOSED — PENDING ADJUDICATION: AVOID. No position, no starter, 0% of book, at \$29.76. This is not a cheap stock with a scary story; on our own corrected numbers it trades at a normal multiple, and the thing that could break it is one counterparty.

What we believe

Celsius sells energy drinks. Its flagship CELSIUS brand is shrinking in absolute terms — \$734.96M in the first half of 2026 versus \$767.34M a year earlier, down 4.2%, with the second quarter down 11.7% ([10-Q revenue-by-brand, R45](#)). Total company revenue still looks strong (+49.8%) only because the company bought two other brands, Alani Nu and Rockstar.

Three things convinced us to stay out.

One: the growth that remains is being bought. Money the company pays retailers for discounts and promotions doubled — \$600.9M in the first half versus \$299.9M — and the share of gross sales given back went from 21.9% to 27.3%. In the second quarter alone it went from 20.4% to 27.6%, a 7.2-point jump ([revenue note, R13](#)). Rockstar's arrival explains at most about a third of that increase. The rest is discounting.

Two: last year's comparison was inflated, and nobody in the market seems to be saying it out loud. In the third quarter of 2025 the company itself reported CELSIUS-brand revenue up 44% while U.S. retail scanner data — what shoppers actually bought — grew 13% ([Q3'25 results release](#)). That 31-point gap is product pushed into the channel ahead of consumption. Part of the 2026 decline is that load unwinding, which is *less* alarming than it looks. But it also means the November 9 report laps the inflated quarter and cannot give a clean read. The first honest comparison is the Q4'26 report, roughly February 2027.

Three, and this is the real reason to stay flat: the common stock sits behind PepsiCo in four different ways at once. PepsiCo is the distributor, is about 60% of revenue, holds \$1.76B of preferred stock that ranks ahead of common, and is the subject of the securities class action against the company. On the asset side, \$598.8M of the balance sheet is a capitalized upfront payment *to that same distributor*, being written off against revenue over roughly seventeen years. That \$598.8M plus \$919.7M of goodwill totals \$1,518.5M against total common equity of \$1,199.6M — before counting the Alani and Rockstar brand intangibles. Tangible book value for common shareholders is deeply negative. If the Pepsi agreement is ever renegotiated, it is simultaneously a revenue event, a write-off event, a lawsuit event, and a senior-claim event — four correlated hits landing on a residual claim that is already negative on a tangible basis. That risk exists today, regardless of what any quarter prints.

And on price: it isn't cheap. Enterprise value is \$8.78B on the preference basis, \$9.40B on management's own fair-value mark of the preferred. Against roughly \$760M of annualized adjusted EBITDA, that's 11.6x to 12.4x — an ordinary multiple, not a distressed one. About 21x normalized earnings per share, after adding back a one-time charge. The stock being down 55% from its high does not make it a discount.

What the market believes

The market believes this is a temporary reset in a franchise that still works. Eighteen sell-side buy ratings, an average price target near \$62 — more than double the current price. The bull story is that Alani Nu takes over as the growth engine while the flagship laps its distributor transition, and that promotional spending is a land-grab, not a structural giveaway.

Meanwhile, 31.55M shares are sold short — 12.45% of shares outstanding — so a substantial group believes the opposite. This is a fought-over stock, not a forgotten one.

There is also a category signal neither side is emphasizing: our own detector on Monster, as the category benchmark, reads DECAYING with a heat score of 27.9. Some of Celsius's problem is the whole energy-drink category cooling, not Celsius losing share. That argues the brand is less broken than the numbers suggest — and that the multiple should be lower than it is.

Why we might have edge

We read the filing rather than the headline, and four things surfaced there that the price-target consensus does not appear to reflect:

1. **The promotional giveback is quantified and large.** Revenue growth of 49.8% net rests on 60.9% gross. That's a specific, sourced number, not a narrative.
2. **The 31-point shipment-versus-consumption gap in Q3'25 dates the problem precisely**, which tells us the November print is uninterpretable in advance. Almost everyone's clock is set to the wrong quarter — including, initially, both of our own benches.
3. **\$80.86M of distributor termination fees hit second-quarter operating income** ([income statement, R4](#)). Operating income fell to \$75.3M from \$143.0M; excluding that charge it was \$156.1M, up 9.2%. Three of the last four quarters carry these fees. Whether they're a real recurring cost or reimbursed by PepsiCo is the single highest-leverage open question in this file, and we could not answer it — no offsetting line appears anywhere in the statements.
4. **The balance-sheet structure** — capitalized payment to your own distributor, larger than your tangible equity, amortized for seventeen years — is a pattern worth naming and screening for elsewhere, which we've recorded.

Why it might be priced in

Honestly: a lot of it probably is.

- The stock is already down 55% from its high and up 26% off its low. We are not early to the bad news.
- 12.45% short interest means the bear case has a large, well-funded audience.
- At 11.6–12.4x EBITDA, the market is not paying a growth multiple. If the flagship stabilizes anywhere near flat, that multiple is defensible and there is no short case either.
- Our category detector cuts both ways: if the whole energy category is cooling, Celsius’s decline is partly cyclical, and cyclical declines mean-revert.
- The Pepsi tail risk is real but conditional and undated. Markets rarely price a low-probability renegotiation until it happens — which means we are not being *paid* to bear it, but it also means we can’t claim the market is wrong to ignore it today.

The clean summary: **the disagreement is not about whether the business slowed. Everyone agrees it slowed. The disagreement is whether 12x is the right price for what’s left, and we don’t have an edge on that question at \$29.76.**

What we checked ourselves

Claim	How checked	Found	Confirmed?
Flagship brand is declining	10-Q R45, brand table, primary	H1 -4.2%, Q2 -11.66%	Yes. Both benches. Blue added that Q2’s +11.2% sequential build is the weakest in the series (2021: +30%, 2022: +15.5%, 2025: +33%) — so it missed seasonally too
“Alani Nu is the worse brand” — <i>our red bench</i>	10-Q R45; Alani’s first owned quarter was Q2’25	Alani was +21.0% YoY (\$301.2M → \$364.4M). Red judged Alani’s sequential against the <i>flagship</i> ’s seasonal pattern, but Alani has no Q1’25 base and a different channel mix	Our own error. Red overstated the case. The claim that “the portfolio bridge is already broken” is not supported
Promotional allowances doubled	10-Q R13, contra-revenue lines	H1: \$600.9M vs \$299.9M, take 21.9% → 27.3%. Q2 alone: 20.4% → 27.6%	Yes, and worse than first stated. The original brief never quantified this at all
Enterprise value \$9.40B — <i>original brief</i>	10-Q R2 / R69, mezzanine detail	Red called it a double-count and re-cut it to \$8.64B “as-converted.” Blue overturned that: Series B converts at \$51.75 with the stock at \$29.76 — deeply out of the money, it will not convert. Honest range is \$8.78B (preference floor) to \$9.40B (fair value)	Both partly wrong. Stop citing \$9.40B as a point estimate; stop citing \$8.64B entirely
Re-open gate of \$20.50 is “arithmetically wrong” — <i>our red bench</i>	Same source, redone	Red’s arithmetic assumed a different basis than the brief’s. On the brief’s own fair-value basis: (\$7.0B – \$0.037B – \$1.760B)/253.3M = \$20.54 . On the	Our own error. Red called a valid calculation wrong. The gate is a band,

Claim	How checked	Found	Confirmed?
		preference basis: \$23.00 . Both are internally valid	\$20.50–\$23.00, not a point
Return on equity is 2.4% — <i>our red bench</i>	10-Q R4	Net income available to common was \$121.4M in H1'26 alone — roughly 20% annualized. Both the screen's 5.1% and red's 2.4% are trailing-twelve-month artifacts of a one-time Q3'25 charge	Our own error, twice over. Our screen's “quality” input was polluted, and red compounded it
Preferred dividends ~\$27M/yr — <i>original brief</i>	10-Q R4 / R69	Cash preferred dividends \$28.14M in H1 alone (~\$56M/yr); adding the \$15.81M participating allocation brings the total drag to ~ \$88M/yr	Original brief wrong; red's correction also too low. Third pass got it
Net cash position	10-Q R2	Cash \$631.2M vs long-term debt \$667.9M = net debt of \$36.6M . The “net cash” claim is false	Yes — but it's a small number with no covenant consequence
PepsiCo concentration	10-Q R45 related-party footnote	Red flagged the 59.0% figure as stale (3/31/26). Blue pulled the current number: 60.2% of Q2'26 revenue (\$492.3M of \$817.9M), 59.6% for the half — and rising	Yes, upgraded from “plausible” to confirmed
Securities litigation	10-Q R24	Consolidated class action plus five derivative suits, alleging misstatements about the Pepsi distribution agreement and growth; company calls loss “remote”	Yes. The original brief missed it entirely. Management's “remote” is an assertion, not an audited conclusion. This makes the name integrity-flagged: it can never be treated as fairly-paid risk, and any fair value must be haircut to 0.85x
Contract asset + goodwill exceed common equity	10-Q R13 + XBRL goodwill	\$598.8M + \$919.7M = \$1,518.5M vs \$1,199.6M equity — arithmetic confirmed. But blue reduced the severity: with \$36.6M net debt, an undrawn revolver and ~\$760M EBITDA, negative tangible book has no covenant or cash consequence. It's a write-off conditional on a Pepsi exit	Fact yes, severity overstated by red
\$80.86M of termination fees in Q2 operating income	10-Q R4	Confirmed; explains the entire operating income decline. No offsetting reimbursement appears in Other, net (\$2.2M) — so the assumption that PepsiCo funds these and they're cash-neutral is unverified for 2026	Both benches missed this on first pass. Found only on the second
Resolution date is the Nov 9 print	Q3'25 company release, primary	The Q3'25 quarter carried a 31-point shipment-over-consumption gap. November 9 laps that loaded quarter, so it cannot produce a clean read either way	Both benches misdated this. Corrected to the Q4'26 report

Claim	How checked	Found	Confirmed?
Current price	Evidence pack	Pack quote \$29.76 from the broker gateway. The original brief described the price as a Yahoo print — wrong source	Minor sourcing error, corrected. Live re-quote failed (permission denied, non-interactive), so we have no spread or volume measurement
Consumer demand signals	Our own detectors	CELSIUS and Alani heat: no data . Retail review channel: blocked by bot wall . Rockstar: flat, matches the filing. Monster (category): fired, DECAYING, heat 27.9	Mostly unavailable. Our consumer-side instrumentation on this name is effectively dead; we substituted the company's own scanner disclosure

Four of our own numbers were wrong before the second bench caught them, and one — the trailing return-on-equity figure — came from the screen that surfaced the name in the first place. The direction of the conclusion held. The supporting arithmetic did not.

PROPOSED ENTRY BANDS

No entry. No starter position. 0% of book. There is no price at \$29.76 that we want.

Reopen bands instead, and the design matters: **a price gate alone must not reopen this file**. The category detector is decaying, which means a bare price trigger fires precisely when the whole cohort de-rates — i.e., when the thesis is *worse*, not better. Price must be paired with a fundamental condition.

Reopen requires both legs:

- **Leg 1 — price at or below \$21.50.** This is the midpoint of the defensible valuation band, \$20.50 (fair-value basis) to \$23.00 (preference basis). Roughly 28% below today's price.
- **Leg 2 — at least one of:** promotional allowances falling back below about 23% of gross revenue (visible in the revenue note of any 10-Q), **or** company-disclosed CELSIUS scanner/depletion growth turning positive.

Unconditional reopen, no price condition, on any of:

- An 8-K disclosing an amendment to or extension of the PepsiCo distribution agreement — this is the event that either removes or triggers the central tail risk.
- Disclosure that the distributor termination fees are reimbursed (which would restore roughly \$0.26 of half-year EPS to the normalized picture).
- Dismissal with prejudice of the consolidated securities class action.
- CELSIUS-brand revenue positive year-over-year on a nine-month basis.

Existing \$22.75 alert: keep it, but it is a courtesy tripwire only — a notification that price entered the band, not an entry. It sits above the \$21.50 reopen level and is a low-probability fill from here. It does not authorize action on its own.

No trims or exits to specify — we own none.

Catalyst dates:

- **2026-11-09 — Q3'26 report.** Derived from a data vendor, **not confirmed by any company announcement.** More importantly: this quarter laps the channel-loaded Q3'25, so it **cannot satisfy Leg 2** in either direction. Do not set a decision on it. Read it; don't act on it.
- **~February 2027 — Q4'26 report (exact date unknown).** This is the first quarter that produces an uncontaminated consumption comparison, and it is the real resolution date for this file.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 21.5 (deck-provisional: Reopen Leg 1, midpoint of the defensible \$20.50-\$23.00 EV band; must be paired with Leg 2 (promo take)
- filing watch: 8-K until 2027-02-13 (deck-provisional: Any amendment, extension, or termination of the PepsiCo distribution agreement — the single event that)
- dated pack CELH|2026-11-09: CELH: Q3'26 report — vendor-derived date, unconfirmed by the company; laps the channel-loaded Q3'25 (44% shipment growth vs 13% scanner) and
- dated pack CELH|2027-02-25: CELH: Q4'26 report — date estimated from prior-year timing, unconfirmed; the first uncontaminated year-over-year consumption comparison and

What remains unverified

- **Whether the \$80.86M of distributor termination fees are reimbursed by PepsiCo.** The conclusion that they aren't rests on the *absence* of an offsetting line in the income statement, not on a related-party note we actually read. We did not pull that note. This is the weakest link in the whole file and it swings normalized earnings by roughly a third.
- **The Q3'25 flagship brand revenue figure (~\$382M)** is derived by subtraction, not read from a brand table. The Q3'25 filing's brand breakdown did not surface through our fetch. It cross-checks against the disclosed +44% growth rate, but it is a derivation.
- **The November 9 report date** comes from a data vendor. No company announcement confirms it. The February 2027 date is an estimate with no confirmation at all.
- **Consumer demand.** We have no independent read. Our heat detectors returned no data for both CELSIUS and Alani; the retail review channel is blocked. Everything we know about consumption comes from the company's own disclosure.

- **Liquidity.** No spread, no average volume. The broker re-quote was denied in this session.
- **Whether the securities litigation loss is genuinely “remote.”** That is management’s characterization in its own filing. It has not been audited or tested.
- **Capital allocation.** The company repurchased 3.565M shares last quarter while carrying \$668M of debt and ~\$88M/yr of preferred dividend obligations. Neither bench worked out whether that’s sensible. It’s an open question, not a finding.

```

{"price_gates": [{"level": 22.75, "direction": "below", "basis": "Existing
courtesy tripwire – notification only, above the reopen level, low
probability of fill; does not authorize entry."}, {"level": 21.50,
"direction": "below", "basis": "Reopen Leg 1, midpoint of the
defensible $20.50–$23.00 EV band; must be paired with Leg 2 (promo
take below ~23% of gross OR positive disclosed CELSIUS scanner
growth) because the energy category detector is DECAYING and a bare
price gate self-triggers on cohort de-rating."}], "event_gates":
[{"forms": ["8-K"], "why": "Any amendment, extension, or termination
of the PepsiCo distribution agreement – the single event that
resolves or triggers the correlated
revenue/impairment/litigation/senior-claim tail."}, {"forms": ["8-
K", "10-Q"], "why": "Resolution of the consolidated securities class
action and five derivative suits alleging misstatements about the
Pepsi agreement; dismissal with prejudice is an unconditional
reopen."}, {"forms": ["10-Q", "10-K"], "why": "Promotional
allowances as a share of gross revenue (currently 27.3% H1, 27.6%
Q2) reverting below ~23% – reopen Leg 2."}, {"forms": ["10-Q", "10-
K"], "why": "Presence, magnitude, and any disclosed reimbursement of
distributor termination fees ($80.86M in Q2'26); reimbursement
disclosure is an unconditional reopen."}, {"forms": ["10-Q", "10-
K"], "why": "Impairment of the $598.8M PepsiCo contract asset or the
$919.7M goodwill balance, which together exceed total common equity
of $1,199.6M."}, {"forms": ["8-K"], "why": "Item 5.02 further senior
executive departures following the President/COO exit on 2026-08-
10."}], "catalyst_dates": [{"date": "2026-11-09", "what": "Q3'26
report – vendor-derived date, unconfirmed by the company; laps the
channel-loaded Q3'25 (44% shipment growth vs 13% scanner) and
therefore CANNOT produce a clean consumption read or satisfy the
reopen test."}, {"date": "2027-02-25", "what":
"Q4'26 report – date estimated from prior-year timing, unconfirmed;
the first uncontaminated year-over-year consumption comparison and
the true resolution date for this file."}, {"date": "2027-02-25", "what":
"Q4'26 report – date estimated from prior-year timing, unconfirmed;
the first uncontaminated year-over-year consumption comparison and
the true resolution date for this file."}], "confirmed": false}],
"immediate_entry": null}

```